SYNTH · FULL REVIEW PACKET

TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING

Term Sheet · Parties: Party A, Party B

65

High Risk Score

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⚠ Synth is not legal advice or financial advice. It is a document review aid. Consult a qualified professional before making decisions.

PART 1 — CONTRACT REVIEW

Executive Summary

This Term Sheet has been reviewed by Synth in mock mode. The document contains several clauses that warrant attention, including payment terms, termination provisions, and liability limitations. This is a demonstration analysis — no actual AI analysis was performed. Review all findings with a qualified professional.

Key Terms

Field	Value

Payment Terms	Not found in the document.
Renewal Terms	Not found in the document.
Termination	termination of negotiations by Lead Investor, the Company agrees not to solicit, negotiate, or enter into discussions with any other potential investor regarding a financing transaction without Lead Investor's p
Governing Law	GOVERNING LAW
Liability	Not found in the document.
Confidentiality	Not found in the document.

Risk Matrix

High **Unilateral Modification Rights**

Provider may be able to modify terms without customer consent.

> *"See document for renewal terms."*

Next step: Request a mutual written amendment requirement.

High **Limited Liability Cap**

Liability may be capped at a small fraction of potential damages.

> *"See document for liability cap language."*

Next step: Negotiate a higher cap and carve-outs for willful misconduct.

Medium **Auto-Renewal with Short Notice**

Agreement auto-renews unless cancelled within a specific window.

> *"See document for renewal terms."*

Next step: Calendar the cancellation deadline immediately.

Action Items

1. Review all payment and fee terms with finance team
2. Calendar all notice and cancellation deadlines
3. Have legal counsel review liability and indemnification provisions
4. Request data processing agreement if applicable
5. Verify governing law is acceptable for your jurisdiction

PART 2 — FINANCIAL ANALYSIS

Financial Summary

Field	Value
Total Contract Value	Not found in the document.
Recurring Fees	Recurring fee structure may be present. See document.
One-Time Fees	Not found in the document.
Payment Schedule	Payment schedule requires review. See document.
Late Fees	Late payment penalties may apply. See document for rate.
Refund Terms	Refund provisions may be present. Review for limitations.
Renewal Cost Changes	Price escalation terms require review. See document.

Financial Red Flags

High **Non-refundable fees**

All fees may be non-refundable regardless of circumstances.

> *"See document for fee language."*

Medium **Automatic price increases**

Price may increase automatically on renewal.

> *"See document for renewal cost language."*

PART 3 — EXECUTIVE MEMO

Executive Summary

This memo summarizes key findings from the Synth review of "TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING". The document presents High risk (score: 65/100). Several provisions require immediate attention, including liability limitations, renewal terms, and modification rights. This memo was generated in mock mode — run with a real AI provider for document-specific analysis.

Biggest Risks

High **Unilateral Modification Rights**

Provider may be able to modify terms without customer consent.

High **Limited Liability Cap**

Liability may be capped at a small fraction of potential damages.

Medium **Auto-Renewal with Short Notice**

Agreement auto-renews unless cancelled within a specific window.

Financial Obligations

- Review all fee structures in document
- Note all payment deadlines
- Check for auto-renewal costs

Questions for Your Lawyer

1. Is the liability cap sufficient for our exposure?

2. Are the indemnification obligations reasonable?
3. What is the practical impact of the governing law choice?
4. Can we negotiate a mutual written amendment requirement?
5. What data rights does the other party retain?

Action Items

1. Review all payment and fee terms with finance team
2. Calendar all notice and cancellation deadlines
3. Have legal counsel review liability and indemnification provisions
4. Request data processing agreement if applicable
5. Verify governing law is acceptable for your jurisdiction

PART 4 — REVISION PACKET

⚠ Suggested revisions are not legal advice. They are suggested replacement language for review by a qualified professional. Consult an attorney before using any suggested language.

Revision Summary

This revision packet identifies 3 area(s) of "TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING" warranting negotiation or revision, including 2 high-priority item(s). All suggested language is for review by a qualified professional only and does not constitute legal advice.

Priority Changes

1. Address: Unilateral Modification Rights — Request a mutual written amendment requirement.
2. Address: Limited Liability Cap — Negotiate a higher cap and carve-outs for willful misconduct.
3. Add missing clauses: Force majeure clause (not clearly present), Data processing agreement / GDPR addendum, SLA / uptime guarantees

Clause Revisions

High **Liability Limitation**

Issue: Liability cap may be significantly below potential damages

Original:

> *"IN NO EVENT SHALL COMPANY BE LIABLE TO CONTRACTOR FOR ANY INDIRECT, INCIDENTAL, SPECIAL, OR CONSEQUENTIAL DAMAGES ARISING OUT OF OR RELATED TO THIS AGREEMENT"*

Suggested (for professional review):

> *[SUGGESTED FOR PROFESSIONAL REVIEW] Consider negotiating a higher cap, or carve-outs for willful misconduct, gross negligence, and data breach scenarios.*

Medium **Auto-Renewal**

Issue: Auto-renewal with potentially short cancellation window

Original:

> *"See document for renewal language."*

Suggested (for professional review):

> *[SUGGESTED FOR PROFESSIONAL REVIEW] Negotiate a shorter notice window (e.g., 30 days) and require affirmative renewal consent.*

Negotiation Notes

- Start with the highest-severity items first
- Document all verbal agreements in writing before signing
- Request a redline of any counter-proposals
- Consider requesting a 30-day review period before signing
- Get all changes confirmed in a written amendment or restated agreement

Questions for Your Lawyer

1. Is the liability cap sufficient for our potential exposure?
2. Are the indemnification obligations reasonable and balanced?
3. What is the practical impact of the governing law choice?
4. What are our rights and remedies if the other party materially breaches?
5. How does the liquidation preference affect our payout in various exit scenarios?
6. What triggers the anti-dilution provisions, and what are the mechanics?